HERIOT WATT UNIVERSITY | EDINBURGH BUSINESS SCHOOL

Nestlé Good food, Good life

An Investment Advisory Report on Nestle

Group 22

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Nestlé
Good food, Good life

Introduction

Nestle was founded 150 years ago by the merger of Henri Nestle's company that was developing a new milk-based baby food formula and the Anglo-Swiss Condensed Milk Company. The merger created what is today known as the Nestle Group. As of 2024, Nestle is the world's largest food and company based in Switzerland. Its products are sold in 185 countries across 7 product categories and 31 billionaire brands like *Nescafe, Maggi and KitKat* among others. It is also the world's largest coffee company.

Its vision "Good food, Good life" is a belief that a healthy and tasty food and drinks lead to a good quality of life. This is of significance as Nestle was founded at a time when there was high infant mortality rate. The logo of the company is based on the family crest of Henri Nestle where baby birds are being fed by their mother, a homage to their original vision to solve infant mortality. Overall Nestle's goal is to help people live healthy and better lives through the power of the food.

Investment Analysis Report

This report provides an investment advisory to our client, an institutional investor whether to invest £2,000,000 in the shares of Nestle. Nestle is an attractive investment opportunity because it is one of the largest food companies in the word. This report analyses the financial health, strategic direction and positioning, ESG and the Future Direction of the Company to provide a clear investment recommendation to the client.

Review of Nestle's Objectives, Strategies, and Principal Risks and Their Impact on the Investment

Corporate Objectives

Nestle's core purpose is to build sustainable long-term value by enhancing the quality of life in nutrition, health, and wellness. It aims to deliver 4 to 6% growth and an operating profit of at least 17% in the medium term (Nestle, 2025a). It also aims to maintain the return on invested capital (ROIC) in excess of its cost of capital, be capital efficient, and create value for shareholders.

Nestle's 2050 net-zero emissions are its ambition, with 2030 half-way points of halving by then and 100% reusable or recyclable packaging by 2025 (Nestle, 2023). These are ambitions conveying a long-term orientation to ESG-focused investors.

Business Strategies

Nestle keeps developing its portfolio into the high-growth and high-margin spaces such as PetCare, Health Science, and prestige coffee (Nestle, 2025b). Operationally, Nestle is driving efficiency by its "Fuel for Growth" initiative, which aims at saving CHF 3 billion until 2027 through digitalization, supply chain cost savings, and restructuring of manpower (FoodInfotech, 2025). Nestle also invests in local manufacturing capacity in order to de-risk the supply chain as well as to increase

responsiveness in markets where it enjoys high concentration.

Nestle is expanding in developing economies like Asia and Latin America, whose rising middle-class consumption underpins long-term demand. Its digital and direct-to-consumer initiatives also continue to enhance brand engagement and data-driven decision-making.

Principal Risks

Nestle's profitability relies so heavily on its own major ingredients like coffee, milk, and cocoa that commodity price increases can erase margins—especially during inflation. Since a large percentage of its sales are made outside of Switzerland, overseas foreign exchange movements can add substantially to the bottom line. Nestle also has mounting pressure from governments and consumers to minimize plastic waste, carbon footprint and improve the quality of nutrition level, which will be expensive. Moreover, business in politically volatile geographies such as Russia and China is uncertain, which reduces stability in performance. As much as Nestle's huge portfolio of more than 2,000 brands is an advantage, size does make it challenging to stay focused, move fast, and build innovation momentum.

Impact on Investment Decision

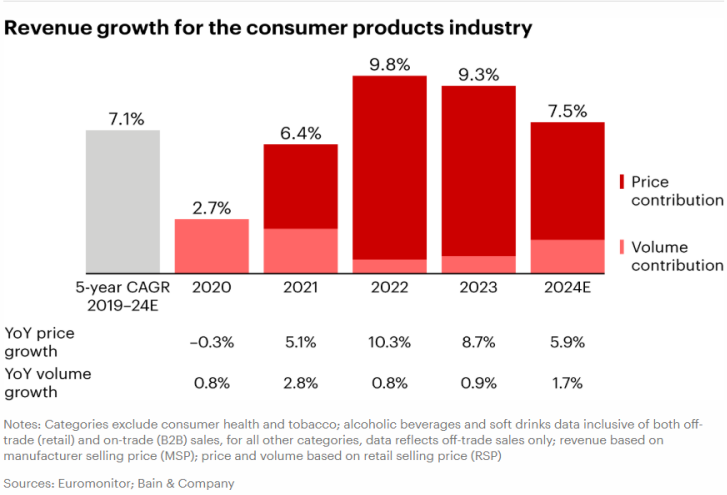
Nestle's strategic concentration, fiscal discipline, and commitment to sustainability place it in the hearts of institutional investors for long-term stable performance. Its high-margin business concentration and tight control of operations ensure profitability and cash generation irrespective of negative macroeconomic factors. Nestle's move to lead in ESG and risk gives it greater strength and fairness as a brand, consistent with increasing focus on sustainable investment. Investors must monitor earnings volatility against foreign exchange and commodity price risks and execution risks as a result of mass-scale change efforts.

As a company, Nestle is an A-rating defensive stock that encompasses a seamless mix of growth, stability, and sustainability.

Macroeconomic & Industry Context: Inflation, demand trends, consumer behaviour

The revenue value for the consumer goods industry is estimated to have risen 7.5% in 2024 YOY compared to over 9.3% in the 2023. 75% of the growth came due to price increases rather than volume growth. The slow-down in sales growth was felt more across the food and non-alcoholic beverage sector amongst all the FMCG sectors (OECD,2025).

The food and beverage industry is suffering from increasing raw material costs due to new tariffs. Consumer demand has also fallen due to cautious spending habits picked up during the Pandemic (RSM, 2025; Bain & Company, 2025). It is also found that consumers are now trading down to private branded products instead of global value brands. Retail brands are increasing the scope and reach of their private label offerings and improving quality simultaneously increasing product quality and subsequently consumer trust making it difficult to stay competitive with lower margins (LeverX, 2025). Customers are increasingly focusing more on sustainability and is also under pressure to reduce its carbon footprint failing which may hurt brand reputation and subsequently affecting revenue (EY,2025). For global firms, brand is no longer the only defining factor. They must also work on innovation, product differentiation as well as ESG and climate goals to maintain profitability.



Nestle's Response to Industry Trends

Nestle's CEO Laurent Freixe stated that Nestle has achieved their target performance in 2024 in a challenging environment. The organic growth was 2.2%.

Customer demand falls after Nestle hikes coffee and chocolate prices. In the first half of 2025, Nestle was able to compensate for a decline in consumer demand by raising the price of coffee and chocolate. It was found that the growth in sales was driven by higher pricing. Also, the Swiss consumer group reported growth of 2.9% during the first 6 months, compared with earlier year. It was driven by a 2.7% increase in price, whereas its internal was 0.2%. However, the business claimed that price hikes brought on by inflationary pressures, which resulted in "double-digit percentage increases in some markets", were the primary driver of its increased sales. Every region saw organic growth, with developed markets growing at a rate of 2.1% and developing markets growing at a rate of 5.2%.

Macro-Economic analysis

The following demand elements impact the company's sales and profitability: price, competition, income levels and customer preferences and tastes. Because the market is so competitive, raising the price of Nestle's product is likely to reduce demand, which will lower the company's sales. (Mankiw & Taylor, 2011, p. 67). When Nestle raises its prices its competitors which already has a vast number of businesses, its profitability is lowered as a result of this restriction on the quantity of output it may sell.

Inflation

The term inflation describes the percentage change in prices of products and services over a given time frame . When inflation rises, consumers' purchasing power decreases, while when it falls, it improves their capacity to buy goods and services. (Abel & Bernanke, 2008, p. 413).

Consequently, a high rate of inflation will raise Nestle's production costs because its input prices will rise. Its profits and sales will decline as a result of the subsequent price increase for its items while reducing purchasing power of the customers. Low inflation, on the other hand, will allow the company to offer its goods at a discount, which will boost sales and profits.

Financial Analysis

(The detailed calculations and charts supporting this analysis are contained in Workbook titled: Nestle Annexure.xlsx. All subsections use data and insights from this file)

Liquidity and Working Capital

Nestle tries to keep its liquidity ratios low. Low Liquidity ratio is generally a signal of liquidity risk however for Nestle it is a deliberate strategy. Majority of Nestle's current assets is Inventory. However, Nestle also has a high inventory turnover ratio which means that the inventory is cycled very fast. Nestle also extends its trade payables using favourable terms of credit. This inflates current liabilities however this means that Nestle needs a lower working capital level to manage its daily operations thus having its creditors finance its daily operations at no cost. The excess cash is also used for other operations like dividends and buybacks reducing idle capital while improving its EPS and reputation as a low-risk value-oriented firm. (*Please refer sheet Liquidity Ratios for calculations).*

Efficiency Ratios

Nestle's asset t/o ratio remain stable throughout the review period with increasing trend. The ratio fell in 2024 which is coinciding with fall in sales due to changes in market demand as well as other non-financial effects like changing CEO. The inventory t/o ratio seems to be falling from 2.21 (2020) to 1.87 (2023). This is reflected of the fact that Covid 19 has changed consumption patterns which is making it difficult to products leading to buildup of stocks. However, the ratio improved to 1.93 (2024) showing that inventory started moving faster possibly due to post covid normalization and regain in demand. (*Please refer sheet Efficiency Ratios for calculations).*

Profitability Ratios

Nestle's Gross Profit margin fell in 2021 due to the pandemic. 2021 to 2024 saw a gradual rise to 16.02% due to return to pre covid levels. The 2024 GP margin shows that the company regained pre covid margin signalling return to normal business environment. Net Profit margin falls the Gross Profit margin for the most part except 2021. The fall in NP in 2021 and its subsequent increase in margin is normalisation to pre covid levels. 2021 recorded exceptionally high net profit due to non-operating profit on the disposal on L Oreal shares and is not part of its regular operations. The profit on disposal was used to fund buyback of its shares. The Net Profit margin is yet to reach pre covid levels as there are factors other operations that governance issues that are bringing down overall net profit margin. (*Please refer sheet Profitability Ratios for calculations).*

Returns

Nestle's Return on Equity has been stable for the most part showcasing strong profit generation capability from the equity capital invested in the company. The 2022 dip was due to lower net profit from Covid effects however, it is going back to pre-covid normal levels showing that Nestle's fundamentals are still strong. Return on Capital Employed fell in 2021 because the capital employed increased due to high retained earnings from the profits on disposal of L'Oreal shares. Return on Capital Employed has been consistent for the most part with minor variations due to covid and change in consumption pattern. Return on Assets peaked in 2021 due to strong net profit that year and a big drop in 2022 (net profit fell while assets stayed high). The ratio is stabilizing to normal levels due to post covid normalization. Overall Nestle has good profit generation capacity from its assets both tangible and intangible assets. (*Please refer sheet Returns for calculations).*

Leverage

The debt-to-equity ratio increased from 0.87 (2020) to 1.73 (2024). This reflects the increasing role of debt in financing operations. When Share buyback is also taken into account, it means debt is replacing equity while maintaining total capital. This helps to boost EPS and increases its market valuation however this also increases financial risk due to rising interest costs. This decreases Nestle's ability to be flexible about its capital deployment during adverse market scenarios. Nestle's Financial Leverage is increasing means that interest payments are increasing. This is consistent with growth in debt in the capital structure of Nestle. But a rising financial leverage indicates that debt is eating into Nestle's ability to convert revenue and operating profits into taxable profits. If the interest expense grows too large, then it ends up affecting the profit available to shareholders. Nestle's low operating leverage means that it has more of variable costs than fixed costs. Hence profitability is dependant more on cost management and that operating profit closely follows growth in sales. Nestle's Combined Leverage is indicative that while Nestle is reducing its operational risk but has increased its financial risk by replacing equity with debt as observed from rising debt and buyback programmes. This increases Nestle's Valuation provided it can manage its debt related costs. (*Please refer sheet Debt to Equity Ratio and Leverage Sheet for calculations).*

Valuations

Nestle has maintained its EPS and dividend through operating and non-operating incomes through disposal of shares and buybacks but its P/E ratio and Market Value to Book Value signals decreasing investor confidence. This is due to both financial and governance issues such as firing CEO Mark Schneider for under-performance as well as changes in the industry consumption patterns.

Nestle's ESG Performance Highlights

Nestle has demonstrated measurable progress across its primary environmental goals, notably achieving its core 2025 climate target one year ahead of schedule. The company recorded an absolute emissions reduction of 20.38%, exceeding its 20% goal. This

achievement was substantially driven by the creation of 1.64 million tonnes of carbon removals within its supply chains, validating the effectiveness of localized, nature-based solutions. The company has assessed 93.5% of its primary supply chains for key commodities (including cocoa, coffee, and palm oil) as deforestation-free, positioning it to achieve its 100% target by the end of 2025. In packaging, the transition to a circular model is rapidly advancing; Nestle has reduced its use of virgin plastic by 21.3% against its 2018 baseline and has ensured that 86.4% of its plastic packaging is designed for recycling, nearing the >95% target for 2025. This proactive approach is further cemented by the commitment to source 50% of ingredients from regenerative sources by 2030. Furthermore, regional efforts, such as achieving 50% rPET inclusion in water packaging in Nigeria, set high benchmarks for industry-wide circularity.

Nestle has embedded social responsibility into its operations. It invests in farmer training programs across cocoa, coffee, and dairy supply chains which helps to improve productivity and livelihoods in emerging markets and reduce inequality. It also advances responsible nutrition and education initiatives. Internally, Nestle emphasizes diversity, inclusion, and workforce development, reinforcing its reputation as a socially responsible employer and partner in communities worldwide.

Nestle maintains a robust governance framework to protect shareholder interests and ensure accountability. The Board of Directors has majority independent directors and there is clear separation of Chairman and CEO. Recent CEO transitions like firing CEO Mark Schneider for under performance (Reuters, 2024) and then firing CEO Laurent Frexie for having an affair with an employee as it was an conflict of interest (BBC, 2025) highlights the Board's duty to protect shareholder interests.

Investment Decision

Nestle is a leader in the food industry and its financial profile justifies it as a low-risk value-oriented firm. Based on the above analysis, Nestle has proven record of delivering strong profitability, consistent dividends and stable returns on equity and capital employed ensures its reputation as a low-risk, stable income stock. Nestle's strong progress in its ESG goals makes it highly appealing for sustainability focused investors. Nestle's recent shift to large amount of debt in its capital structure exposes it to financial risk. However, this was done to fund buybacks while keeping the capital intact thus boosting its EPS. While growth fell during Covid, various metrics indicate that it is improving to pre-pandemic levels and caution needs to be maintained as the growth is more price driven than volume driven. However, Nestle's global image, popularity, scale of operations and operational efficiency focus on long term growth and value creation.

We advise **investing £2,000,000 worth of shares in Nestle** as Nestle is well suited for risk averse long term institutional investors who seek consistent dividend income while being a global industry leader with an exceptionally diverse portfolio of brands and exceptional ESG leadership.

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